

D367

# Innovation in Finance

Armored Drill

8 concepts · 12 items · 4 transfer items

**What this is.** Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

**Source.** Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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# How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | _____  |                               |

# Items

1.

A startup offers basic, low-cost digital checking to gig workers that big banks treated as unprofitable. Its first app was clunky, but it has improved each year and now attracts mainstream customers. The founders met at a hackathon in Lisbon, and the app is bright purple. What does this pattern best illustrate?

- A. Disruption, which by definition starts with the most profitable customers
- B. Sustaining innovation
- C. Disruptive innovation
- D. Disruption, because every new finance app is disruptive

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

2. [TRANSFER — reversed stem / different variable]

A large bank adds a faster, more secure login feature to its app for its existing premium customers. Which kind of innovation is this?

- A. Disruptive innovation
- B. Sustaining innovation
- C. Low-end disruption
- D. Neither, because incumbents cannot innovate

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

3.

A consortium of five trade-finance banks, which together process \$2 billion a month, wants a shared record of shipping documents that no single bank controls and that makes past entries very hard to alter. Which feature of a distributed ledger is most relevant?

- A. Full anonymity of all participants.
- B. A central database run by the largest bank.
- C. A shared, append-only record kept in sync by consensus, making changes tamper-evident.
- D. Free, instant transactions in every case.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

4. [TRANSFER — reversed stem / different variable]

When is a blockchain least likely to add value?

- A. When many parties who do not fully trust each other share records.
- B. When records must stay in sync across organizations.
- C. When one trusted organization controls the data and all users already trust it.
- D. When a tamper-evident history is needed.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

5.

An online lender wants to serve young applicants with thin credit files. Its app has a 4.7-star rating and its office is in Chicago. Which approach best fits the FinTech lending model?

- A. Approve applicants who rate the app highly.
- B. Use only a traditional credit score, like banks do.
- C. Deny all thin-file applicants.
- D. Use permissioned alternative data such as rent, utility and bank cash-flow history, and test the model for bias.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

6.

A coffee chain with 600 locations adds mobile-wallet payments. The security team wants to make sure a breach of its point-of-sale system would not expose customers' real card numbers. The chain also sells gift cards. Which technology addresses this?

- A. Moving customers to gift cards
- B. Encryption only at the card issuer
- C. Two-factor login for the app
- D. Tokenization

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

7.

An investor with a \$250,000 portfolio pays a human advisor 1.00% a year. A robo-advisor charges 0.25% and offers automatic rebalancing. The investor lives in Denver and has two children. How much would she save in fees in the first year by switching?

- A. \$1,875
- B. 0.75%
- C. \$2,500
- D. \$625

|                             |                                           |                        |                                  |
|-----------------------------|-------------------------------------------|------------------------|----------------------------------|
| <b>Target word</b><br>_____ | <b>The one fact that decides</b><br>_____ | <b>Answer</b><br>_____ | [ ] sure [ ] unsure [ ]<br>guess |
|-----------------------------|-------------------------------------------|------------------------|----------------------------------|

8. [TRANSFER — reversed stem / different variable]

A robo-advisor charges 0.40% a year and collects \$2,000 from a client annually. What is the client's account balance?

- A. \$50,000
- B. \$500,000
- C. \$5,000,000
- D. \$8

|                             |                                           |                        |                                  |
|-----------------------------|-------------------------------------------|------------------------|----------------------------------|
| <b>Target word</b><br>_____ | <b>The one fact that decides</b><br>_____ | <b>Answer</b><br>_____ | [ ] sure [ ] unsure [ ]<br>guess |
|-----------------------------|-------------------------------------------|------------------------|----------------------------------|

9.

An insurer offers drivers a plug-in device that records hard braking, miles driven and time of day, then prices each policy on those results. The insurer was founded in 1952 and advertises during football games. What model is this?

- A. Traditional rating on age, zip code and vehicle only
- B. Parametric insurance
- C. Peer-to-peer insurance
- D. Usage-based (telematics) insurance

|                             |                                           |                        |                                  |
|-----------------------------|-------------------------------------------|------------------------|----------------------------------|
| <b>Target word</b><br>_____ | <b>The one fact that decides</b><br>_____ | <b>Answer</b><br>_____ | [ ] sure [ ] unsure [ ]<br>guess |
|-----------------------------|-------------------------------------------|------------------------|----------------------------------|

10.

A payments startup joins a program that takes 7% equity, provides \$120,000, runs a fixed 13-week cohort with intense mentoring and ends with a demo day for investors. The startup's CTO previously worked at a bank. What kind of program is this?

- A. A Series A venture round
- B. Accelerator
- C. A regulatory sandbox
- D. Incubator

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

11. [TRANSFER — reversed stem / different variable]

A university offers early-stage founders low-cost office space, shared services and open-ended support with no fixed end date and no equity stake. What is this?

- A. Incubator
- B. Angel investment
- C. Venture capital fund
- D. Accelerator

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

12.

A FinTech with 30 employees wants to test a new micro-savings product with a small group of real customers before licensing rules for it are settled. Its founder once won a coding contest. Which regulator-supported tool fits?

- A. A regulatory sandbox
- B. Launch nationwide and fix problems later
- C. An accelerator demo day
- D. An open-banking API

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

# STOP

Answers and dissection follow. Finish every item and every strip first.

# Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

## 1. Answer C Concept 1

A startup offers basic, low-cost digital checking to gig workers that big banks treated as unprofitable. Its first app was clunky, but it has improved each year and now attracts mainstream customers. ~~The founders met at a hackathon in Lisbon, and the app is bright purple.~~ What does this pattern best illustrate?

**Target word:** type of innovation **Decides:** Started with overlooked customers and a simpler offer, then moved upmarket.

|   |                    |                                                                  |
|---|--------------------|------------------------------------------------------------------|
| A | Inverted operation | Disruption starts at the low end or with non-consumers.          |
| B | Confusion set      | Sustaining improves products for existing, profitable customers. |
| C | <b>Correct</b>     | Classic low-end entry followed by upmarket movement.             |
| D | Absolute language  | Being new or digital is not the test.                            |

## 2. Answer B Concept 1 · transfer

A large bank adds a faster, more secure login feature to its app for its existing premium customers. Which kind of innovation is this?

**Target word:** classify the incumbent's move **Decides:** Better product for current best customers.

|   |                    |                                                              |
|---|--------------------|--------------------------------------------------------------|
| A | Inverted operation | No low-end or new market is being opened.                    |
| B | <b>Correct</b>     | It improves the product along lines current customers value. |
| C | Confusion set      | Targets premium customers, the opposite of low-end.          |
| D | Absolute language  | Incumbents excel at sustaining innovation.                   |

## 3. Answer C Concept 2

A consortium of five trade-finance banks, ~~which together process \$2 billion a month,~~ wants a shared record of shipping documents that no single bank controls and that makes past entries very hard to alter. Which feature of a distributed ledger is most relevant?

**Target word:** relevant ledger property **Decides:** Shared control and tamper evidence among partial-trust parties.

|   |                    |                                                                |
|---|--------------------|----------------------------------------------------------------|
| A | Adjacent category  | Permissioned consortium ledgers usually identify members.      |
| B | Inverted operation | Puts one bank in control, which the consortium wants to avoid. |
| C | <b>Correct</b>     | Fits multiple parties with no central owner.                   |
| D | Absolute language  | Ledgers carry costs and latency.                               |

## 4. Answer C Concept 2 · transfer

When is a blockchain least likely to add value?

**Target word:** the poor-fit case **Decides:** No trust problem to solve.

|   |                    |                                           |
|---|--------------------|-------------------------------------------|
| A | Inverted operation | That is the best-fit case.                |
| B | Adjacent category  | Another strength of shared ledgers.       |
| C | <b>Correct</b>     | A normal database is simpler and cheaper. |
| D | Confusion set      | A core blockchain strength.               |

## 5. Answer D Concept 3

An online lender wants to serve young applicants with thin credit files. ~~Its app has a 4.7 star rating and its office is in Chicago.~~ Which approach best fits the FinTech lending model?

**Target word:** underwriting approach **Decides:** Thin files need other evidence of repayment ability.

|   |                   |                                                           |
|---|-------------------|-----------------------------------------------------------|
| A | Camouflage        | App ratings do not predict repayment.                     |
| B | Dropped element   | Thin files have little score data to use.                 |
| C | Absolute language | Abandons the target market.                               |
| D | <b>Correct</b>    | Adds real repayment signals while managing fairness risk. |

## 6. Answer D Concept 4

A coffee chain ~~with 600 locations~~ adds mobile-wallet payments. The security team wants to make sure a breach of its point-of-sale system would not expose customers' real card numbers. ~~The chain also sells gift cards.~~ Which technology addresses this?

**Target word:** protecting card numbers **Decides:** Card numbers must never sit in the merchant's systems.

|   |                   |                                                          |
|---|-------------------|----------------------------------------------------------|
| A | Camouflage        | Answers the gift-card detail; does not secure card data. |
| B | Adjacent category | Leaves the merchant's own systems exposed.               |
| C | Confusion set     | Protects accounts, not stored card data.                 |
| D | <b>Correct</b>    | The merchant stores only tokens, useless to thieves.     |

## 7. Answer A Concept 5

An investor with a \$250,000 portfolio pays a human advisor 1.00% a year. A robo-advisor charges 0.25% and offers automatic rebalancing. ~~The investor lives in Denver and has two children.~~ How much would she save in fees in the first year by switching?

**Target word:** annual fee savings **Decides:**  $0.75\% \times \$250,000$ .

|   |                   |                                      |
|---|-------------------|--------------------------------------|
| A | <b>Correct</b>    | \$2,500 – \$625.                     |
| B | Adjacent category | The rate gap, not dollars saved.     |
| C | Dropped element   | Forgets she still pays the robo fee. |
| D | Wrong stem number | The robo fee itself.                 |

## 8. Answer B Concept 5 • transfer

A robo-advisor charges 0.40% a year and collects \$2,000 from a client annually. What is the client's account balance?

**Target word:** solve for balance **Decides:**  $\text{Balance} = \text{fee} \div \text{rate}$ .

|   |                    |                                 |
|---|--------------------|---------------------------------|
| A | Confusion set      | Reads 0.40% as 4%.              |
| B | <b>Correct</b>     | $\$2,000 \div 0.004$ .          |
| C | Wrong stem number  | Reads 0.40% as 0.04%.           |
| D | Inverted operation | Multiplies the fee by the rate. |

## 9. Answer D Concept 6

An insurer offers drivers a plug-in device that records hard braking, miles driven and time of day, then prices each policy on those results. ~~The insurer was founded in 1952 and advertises during football games.~~ What model is this?

**Target word:** insurance model **Decides:** Price set by measured driving behavior.

|   |                    |                                                             |
|---|--------------------|-------------------------------------------------------------|
| A | Inverted operation | The opposite of behavior-based pricing.                     |
| B | Adjacent category  | Pays a set amount when a trigger such as wind speed is hit. |
| C | Confusion set      | Pools groups of policyholders who share losses.             |
| D | <b>Correct</b>     | Premiums follow recorded behavior.                          |

## 10. Answer B Concept 7

A payments startup joins a program that takes 7% equity, provides \$120,000, runs a fixed 13-week cohort with intense mentoring and ends with a demo day for investors. ~~The startup's CTO previously worked at a bank.~~ What kind of program is this?

**Target word:** program type **Decides:** Fixed cohort, equity for cash, demo day.

|   |                   |                                                                  |
|---|-------------------|------------------------------------------------------------------|
| A | Adjacent category | A later, larger funding round without a cohort program.          |
| B | <b>Correct</b>    | All the defining features of an accelerator.                     |
| C | Camouflage        | Answers the bank background; a sandbox is regulator-run testing. |
| D | Confusion set     | Incubators are open-ended and often take no equity.              |

## 11. Answer A Concept 7 · transfer

A university offers early-stage founders low-cost office space, shared services and open-ended support with no fixed end date and no equity stake. What is this?

**Target word:** program type — reverse **Decides:** Open-ended, no equity.

|   |                    |                                                             |
|---|--------------------|-------------------------------------------------------------|
| A | <b>Correct</b>     | Longer, flexible support without a set cohort.              |
| B | Adjacent category  | An angel provides money for equity, not space and services. |
| C | Inverted operation | VC buys equity, the opposite of this no-equity support.     |
| D | Confusion set      | Accelerators are fixed-length and usually take equity.      |

## 12. Answer A Concept 8

A FinTech ~~with 30 employees~~ wants to test a new micro-savings product with a small group of real customers before licensing rules for it are settled. ~~Its founder once won a coding contest.~~ Which regulator-supported tool fits?

**Target word:** tool **Decides:** Supervised live testing while rules are unsettled.

|   |                    |                                                        |
|---|--------------------|--------------------------------------------------------|
| A | <b>Correct</b>     | Allows limited live testing under regulator oversight. |
| B | Inverted operation | Skips the controlled, supervised test.                 |
| C | Adjacent category  | Pitches to investors; gives no regulatory relief.      |
| D | Confusion set      | A data-sharing channel, not a testing permission.      |

## Triage grid

Write each item number in the box it belongs to.

|                       | <b>Right</b>                                          | <b>Wrong</b>                                                                          |
|-----------------------|-------------------------------------------------------|---------------------------------------------------------------------------------------|
| <b>Sure</b>           | Owned.                                                | <b>Concept inversion — top priority.</b> A wrong mental model; it survives rewording. |
| <b>Unsure / guess</b> | Recognition, not mastery. Re-drill with the transfer. | Not learned yet.                                                                      |

## Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

| <b>Trap</b>        | <b>What it does</b>                                          | <b>In this drill</b> | <b>Your misses</b> |
|--------------------|--------------------------------------------------------------|----------------------|--------------------|
| Dropped element    | Leaves out a required term or step.                          | 2                    |                    |
| Wrong stem number  | A figure copied from the prompt that is not the answer.      | 2                    |                    |
| Adjacent category  | The right idea in the wrong bucket.                          | 8                    |                    |
| Inverted operation | Direction flipped: add/subtract, cause/effect, higher/lower. | 8                    |                    |
| Absolute language  | Always, never, guarantee — where judgment applies.           | 4                    |                    |
| Confusion set      | Every option is real; the test is exact role-matching.       | 9                    |                    |
| Camouflage         | Answers a stem fact that was never the question.             | 3                    |                    |

# Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

| # | Concept                                     | Rule                                                                                                                                                                           | Trap                                                                    | Tell                                                              |
|---|---------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------|-------------------------------------------------------------------|
| 1 | <b>Disruptive vs. sustaining innovation</b> | Disruption starts with overlooked or low-end customers using a simpler, cheaper offer and then moves upmarket; sustaining innovation improves products for existing customers. | Calling any new app or feature disruptive.                              | Who the first customers were and whether incumbents ignored them. |
| 2 | <b>Distributed ledger value</b>             | A blockchain adds value when parties who do not fully trust each other need one shared, tamper-evident record kept in sync by consensus.                                       | Assuming blockchain is always faster, free, or better than a database.  | Several organizations sharing records with no single owner.       |
| 3 | <b>Alternative data in lending</b>          | FinTech lenders use permissioned alternative data such as rent, utility and cash-flow history to score thin-file borrowers, while testing for bias.                            | Denying all thin-file applicants or using irrelevant signals.           | Applicants with little or no credit history.                      |
| 4 | <b>Payment tokenization</b>                 | Tokenization replaces the real card number with a substitute token, so a merchant breach does not expose card numbers.                                                         | Confusing it with login security or bank-side encryption.               | Protecting card numbers stored or passed by the merchant.         |
| 5 | <b>Robo-advisor fee math</b>                | Annual fee = assets under management × fee rate; compare rates in dollars.                                                                                                     | Forgetting that the robo fee is still paid, or slipping a decimal.      | A balance and two percentage fees.                                |
| 6 | <b>Usage-based insurance (InsurTech)</b>    | Telematics prices each policy on measured behavior such as mileage and braking.                                                                                                | Confusing it with peer-to-peer or parametric insurance.                 | A device or app that records driving.                             |
| 7 | <b>Accelerators vs. incubators</b>          | Accelerators run fixed-length cohorts with mentoring, seed money for equity and a demo day; incubators give longer, open-ended support and space, often without taking equity. | Using the two terms as synonyms.                                        | Program length, equity stake and a demo day.                      |
| 8 | <b>Regulatory sandbox</b>                   | A regulator-supervised setting where firms test new products with real customers under limits before full rules apply.                                                         | Launching nationwide first, or confusing a sandbox with an accelerator. | A test with real customers while rules are unsettled.             |

**Course scope (public description):** Innovation in Finance provides students with an introduction to the technologies and product solutions that have disrupted the financial services industry. In this course, students will learn about the emerging financial technologies contributing to the evolution of lending, payments, wealth management, financial planning, and the insurance industry. This course will examine the role financial technology (FinTech) firms serve as financial disruptors and how these organizations are developed and supported, from start-up to scale. Throughout the course, students will identify the impact emerging technologies and FinTechs have on businesses, individuals, and society as a whole. Topics include emerging technology products and services, incubators, accelerator programs, FinTech ecosystems, and technologies that enable and facilitate disruption by emerging technologies. This course provides students with a general overview of financial innovation and serves as an integral component of the finance major. D076: Principles of Finance is a prerequisite for this

course.